

Making Tax Digital for Sole Traders

Set up in an afternoon – written course, 2026-27 edition

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General information for sole traders and landlords in the UK. It is not tax advice; check gov.uk or an accountant for your situation. Facts checked against gov.uk on 25 September 2026. Written with AI assistance and reviewed by a person.

Lesson 1: Does Making Tax Digital apply to me?

Making Tax Digital for Income Tax (MTD) changes *how* you report self-employment and property income to HMRC. It does not change how much tax you pay.

The test: qualifying income

Add up your gross self-employment income and your gross property income. Use turnover before expenses, not profit. HMRC uses the figure from an earlier Self Assessment return:

Qualifying income	MTD applies from	Based on your return for
Over £50,000	6 April 2026	2024-25
Over £30,000	6 April 2027	2025-26
Over £20,000	6 April 2028	2026-27

Example. Sam earns £38,000 from a cleaning business and £16,000 rent from a flat. Qualifying income is £54,000, so MTD applied from April 2026 even though Sam's profit is much lower.

Who is outside it (for now)

- People whose only income is employment (PAYE) or pensions
- Income received through a partnership (not yet in scope)
- People HMRC accepts as *digitally excluded*, for example because of age, disability or location. You apply for this exemption.

Action: use the "Check if you're eligible" tool on gov.uk and keep a note of the result.

Lesson 2: What MTD actually asks you to do

1. **Keep digital records.** Record each income and expense transaction (date, amount, category) in software or a spreadsheet.
2. **Send a quarterly update.** Four times a year, send HMRC your totals by category. Updates are *cumulative*: each one covers the tax year so far.
3. **Make a final declaration** by 31 January after the tax year ends. This replaces the Self Assessment return for that income.

2026-27 deadlines

Update	Covers (standard quarters)	Due
1	6 Apr – 5 Jul 2026	7 Aug 2026
2	to 5 Oct 2026	7 Nov 2026
3	to 5 Jan 2027	7 Feb 2027
4	to 5 Apr 2027	7 May 2027
Final declaration	Whole year	31 Jan 2028

You can instead choose *calendar quarters* (1 Apr, 1 Jul, 1 Oct, 1 Jan). The deadlines are the same.

Myths

- **"I pay tax every quarter."** No. Payment dates (31 January, 31 July) are unchanged.
- **"A mistake in an update means a penalty."** No. Because updates are cumulative, the next one corrects it.
- **"I must buy expensive software."** No. A spreadsheet plus HMRC-recognised bridging software is allowed.

Late updates earn penalty points, and a fine applies once you reach the threshold. See gov.uk for the current rules.

Lesson 3: Choosing software

You need HMRC-recognised software to *send* updates. There are two routes:

	All-in-one app	Spreadsheet + bridging software
Cost	Monthly subscription	Often lower; some bridging tools are free for simple cases
Bank feeds	Usually yes	No; you enter or paste transactions
Learning curve	New app to learn	Stays in the spreadsheet you know
Best for	Many transactions or several businesses	Simple businesses with modest volumes

Find the official list by searching gov.uk for "find software that works with Making Tax Digital for Income Tax". Filter by what you need, e.g. self-employment, property income or bridging. Check that the product supports the *final declaration* too, not just quarterly updates.

Lesson 4: Setting up your records

Whichever route you choose, set your records up once and properly:

- **Separate bank account** for the business. It's not legally required for sole traders, but it halves your admin.
- **Categories.** Use HMRC's expense headings (cost of goods, car/van/travel, premises, repairs, office, advertising, professional fees, and so on) so your totals map straight into the update.
- **Private use.** For mixed costs such as a phone, record the full amount and the private part. Only the business part is claimed.
- **Simplified expenses** (optional):
 - Mileage: 45p per mile for the first 10,000 business miles, then 25p. If you use mileage for a vehicle, you can't also claim that vehicle's actual running costs.
 - Use of home: a flat rate of £10, £18 or £26 a month for 25–50, 51–100 or 101+ hours of business work at home.
- **Keep evidence** (receipts, invoices, bank statements) for at least 5 years after the 31 January submission deadline.

The MTD Ready workbook (sold separately) has all of this built in.

Lesson 5: Your first quarterly update, step by step

1. Check every transaction for the period is entered. Compare against your bank statement.
2. Check categories, especially anything in "other expenses" that belongs elsewhere.
3. Read the year-to-date totals for each category.
4. Open your MTD software (or bridging tool), link it to your spreadsheet if you're bridging, and check the figures it has picked up.
5. Submit, and save the confirmation reference with your records.

Found a mistake after submitting? Correct your records. The next cumulative update carries the correct year-to-date figures. After the fourth update, fix remaining errors in the final declaration.

Lesson 6: A 20-minute monthly routine

1. **5 min:** download or view last month's business bank transactions.
2. **10 min:** enter or paste them, and categorise. Mark any private-use portions.
3. **3 min:** file receipts in one folder per month (photos are fine).
4. **2 min:** add business mileage and home-working hours, and check the deadline countdown.

Twelve short sessions a year beat four stressful ones.

Getting help

- HMRC's Self Assessment helpline and online guidance (search gov.uk for "Making Tax Digital for Income Tax")
- An accountant or tax adviser. Check they are supervised for anti-money-laundering purposes (ask which body supervises them).